

Loan Eligibility And Credit Policy

Last updated: January 2025

Overview

This policy explains the general eligibility criteria, credit evaluation standards, and underwriting principles applied across all loan products. Product-specific rules in the Personal Loan, Mortgage, and Auto Loan policies supplement and may override the general standards described here.

1. General Eligibility

1.1 Age And Legal Capacity

Applicants must be at least 18 years of age (19 in jurisdictions where the age of majority is higher) and have the legal capacity to enter a binding contract.

1.2 Residency And Identification

Applicants must be U.S. citizens or permanent residents and provide a valid government-issued photo ID and Social Security number or Individual Taxpayer Identification Number.

1.3 Banking Relationship

An active checking account in the applicant's name is required for disbursement and automatic payments.

1.4 Income

Applicants must demonstrate a regular, verifiable source of income sufficient to repay the requested loan.

2. Credit Evaluation

2.1 Credit Score

We use FICO scores from the major credit bureaus. The score used in the decision is disclosed to the applicant. Minimum scores vary by product:

- Personal loans: 660
- Mortgages (conventional): 620
- Auto loans: 620

2.2 Credit History Factors

The evaluation considers payment history, length of credit history, amounts owed, credit mix, and recent inquiries. A pattern of on-time payments strengthens an application.

2.3 Derogatory Marks

Recent bankruptcies, foreclosures, charge-offs, collections, and judgments negatively affect eligibility. Waiting periods apply:

- Chapter 7 bankruptcy: typically four years from discharge for conventional financing
- Chapter 13 bankruptcy: typically two years from discharge
- Foreclosure: typically seven years, with exceptions for documented extenuating circumstances

2.4 Thin Or No Credit File

Applicants with limited credit history may still qualify using alternative data such as rent, utility, and telecom payment records, or by adding a qualified co-signer.

3. Income And Employment

3.1 Acceptable Income

- Wages, salary, and regular bonuses
- Self-employment income documented over two years
- Retirement, pension, and Social Security income
- Documented and continuing alimony, child support, or disability income
- Investment and rental income with a documented history

3.2 Income Verification

Income is verified using pay stubs, W-2s, tax returns, bank statements, or direct verification with the employer. Stated income without verification is not accepted.

3.3 Employment Stability

A two-year employment history in the same field is preferred. Recent job changes within the same industry are generally acceptable; gaps in employment require explanation.

4. Debt-To-Income Ratio

4.1 Definition

The debt-to-income (DTI) ratio is total monthly debt obligations divided by gross monthly income, expressed as a percentage.

4.2 Standards

- Front-end ratio (housing costs): generally up to 28% to 31%
- Back-end ratio (all debt): generally up to 43%, and up to 50% with strong compensating factors

4.3 Compensating Factors

A higher DTI may be approved when offset by a high credit score, substantial cash reserves, a large down payment, or stable long-term employment.

5. Collateral And Loan Structure

5.1 Secured Versus Unsecured

Secured loans (mortgage, auto) are backed by collateral that can be repossessed or foreclosed upon in default. Unsecured loans (personal) rely solely on the borrower's credit and income, and typically carry higher rates.

5.2 Loan-To-Value

For secured loans, the loan-to-value ratio compares the loan amount to the collateral value. Lower LTV reduces risk and may improve pricing.

5.3 Co-Signers And Co-Borrowers

A co-signer guarantees repayment but does not take ownership of collateral; a co-borrower shares ownership and liability. Both have their credit and income considered, and both are reported to credit bureaus.

6. Fair Lending And Compliance

6.1 Equal Credit Opportunity

We comply with the Equal Credit Opportunity Act. We do not discriminate on the basis of race, color, religion, national origin, sex, marital status, age, or because income derives from a public assistance program.

6.2 Adverse Action

If an application is declined, the applicant receives an adverse action notice stating the principal reasons for the decision and the credit score used, as required by law.

6.3 Privacy

Applicant information is collected, used, and protected in accordance with our Privacy Notice and applicable law. Credit reports are obtained only with a permissible purpose.

7. Reapplication

An applicant who is declined may reapply after addressing the reasons cited in the adverse action notice. There is no fixed waiting period, but reapplying without a material change in circumstances is unlikely to produce a different result and results in an additional hard inquiry.

8. Contact

For eligibility and prequalification questions, contact our lending team Monday through Friday 8 AM to 8 PM by phone at 1-800-555-0142, by secure message in the online portal, or by email at loans@bankexample.com.